

acknowledges that any charges incurred for health screenings coordinated through the wellness program shall be claims incurred under the Plan and payable as such. Employer further authorizes AB to access and utilize the data collected through the wellness program, including but not limited to, participation metrics and outcomes and health screening results.

- C. By its participating in the Program, Employer will also purchase Stop Loss insurance coverage from the Stop Loss Insurance Company pursuant to the terms of the Stop Loss Policy.
- D. Employer has read this Agreement and agrees to be bound by its terms.
- E. The Core Value and Core Value Access Self-Funded Programs utilize referenced-based pricing, which determines the appropriate level of payment for certain covered charges in accordance with a multiple of the applicable Medicare reimbursement rate or other derived equivalent, as set forth in the Plan.
- F. As a fiduciary of the Plan, Employer is aware that funds are being provided to the Fund Account Holder (if applicable), the applicable Administrator, and the Stop Loss Insurance Company, and Employer hereby approves such funds.
- G. Employer acknowledges that AB, and any subcontractors that provide Employer services pursuant to this Agreement, are not fiduciaries of the Plan pursuant to ERISA.

A duly authorized representative has signed this Agreement on behalf of the Employer named below.

Section 12: Adoption of Agreements

By the signature below of Employer, or its duly authorized representative, Employer hereby:

Adopts the Johnstone Supply The Wallace Group Employee Health Plan, including the Plan Document and Summary Plan Description and any subsequent amendments or modifications, for the benefit of its eligible employees and their eligible dependents (if applicable).

Adopts the Employer Agreement (if applicable) that provides direction for the payment of benefits under the Plan.

Adopts the Section 125 Plan Adoption Agreement as set forth on Schedule E and the Section 125 Premium Only Plan, including the Plan Document and Summary Plan Description and any subsequent amendments or modifications, unless Employer has otherwise established a Section 125 Plan.

By:

(Signature)

(Name)

(Title)

(Date)

For: «Business_Legal_Name»

«Address»

«City», «State» «Zip»

«Phone»

Annual COBRA and Mental Health Parity Verification Form

The Consolidated Omnibus Budget Reconciliation Act (COBRA) and the Mental Health Parity and Addiction Equity Act (MHPAEA) are both federal laws which certain employers are subject to.

COBRA requires private sector employers with 20 or more employees to offer continuation coverage to employees, their spouses, former spouses, and dependent children when group health coverage would otherwise be lost due to certain events. Allied will offer COBRA administration to all group sizes, if desired. Annually, we require you to notify Allied if you would like them to administer COBRA.

Employers with 20 or more Full-Time Equivalent employees on more than 50 percent of its typical business days in the previous calendar year are subject to COBRA. Both full and part-time employees are counted to determine whether a plan is subject to COBRA based on the FTE Method. The FTE method is determined by calculating Full-Time Employees working more than 30 hours per week more than 120 days in a year and part-time employees are determined by taking the total number of hours worked per week by all part-time employees and dividing that number by 30.

To determine your FTE count, visit <https://www.healthcare.gov/shop-calculators-fte/#>

1) Enter your total Full-Time Equivalent Employees here: _____

2) Are you subject to COBRA OR do you desire to voluntarily offer COBRA (even if not required)?

☐ YES

☐ NO

3) If you responded Yes, to #2 above, do you want Allied to administer COBRA for you?

☐ YES

☐ NO

COBRA ACH Disbursements are an option for you to receive COBRA member premiums collected by Allied automatically, instead of waiting for checks to be mailed. An email notification will be sent when funds have been deposited and you can log into the Allied Portal to download a COBRA Disbursement Report to view which members have submitted premium payments each month.

If you elect yes, to set up COBRA ACH disbursements, please complete the ACH Authorization form.

4) Would you like to be set up with COBRA ACH disbursements?

☐ YES

☐ NO

The Mental Health Parity and Addiction Equity Act (MHPAEA) requires medical benefits and mental health or substance use disorder benefits to be offered in parity. This means that plans subject to MHPAEA must cover mental health and substance abuse benefits the same as any other covered medical expense. Small employer groups, however, are exempt from MHPAEA. A small employer group is defined as an employer that employed an average of between 2 and 50 employees during the preceding calendar year.

If you indicated that your total Full-Time Equivalent Employees is 51 or higher, you further attest by signing below that you are subject to MHPAEA.

Signature of Owner or Office

Date

Group Name: Johnstone Supply The Wallace Group

Group Number: L214141



ACH AUTHORIZATION TO DIRECT DEPOSIT COBRA DISBURSEMENT PAYMENTS.

I (print name) _____ hereby give permission for Allied Benefit Systems, Inc
to process an ACH wire transfer to Johnstone Supply The Wallace Group for the payment of COBRA
Disbursement payments.

The ACH Payment will be sent to the following account number and routing number:

Routing # _____ (must be 9 digits)

Account # _____

Bank Name _____

Authorized Signature _____

Date: _____